SECTION A – 2 MARKS

Q1. (a)

An **accounting standard** is a written statement of accounting rules and guidelines, issued by an expert body, covering how transactions and events are recognised, measured, presented and disclosed in the financial statements. In India the Accounting Standards Board of the ICAI prepares them, and the Council of the ICAI issues them. They cannot override the law.

Q1. (b)

1. **Standardisation:** They cut down the choice of alternative accounting treatments, so similar transactions are recorded in a similar way.
2. **Disclosure:** They require extra information in the financial statements, so users can understand the figures.
3. **Comparability:** Statements of different enterprises, and of the same enterprise over years, can be compared.

Q1. (c)

As per **AS 2 (Revised)**, inventories are assets held:

1. for sale in the ordinary course of business,
2. in the process of production for such sale, or
3. in the form of materials or supplies to be consumed in production or in rendering services.

Q1. (d)

As per **AS 10 (Revised)**, property, plant and equipment are tangible items that are held for use in the production or supply of goods or services, for rental to others, or for administrative purposes, and are expected to be used during more than one period (more than 12 months).

Q1. (e)

As per **AS 13**, investments are classified as:

1. **Current investments:** readily realisable and intended to be held for not more than one year from the date of purchase.
2. **Long-term investments:** investments other than current investments.

They are further shown, where applicable, as government or trust securities; shares, debentures or bonds; investment properties; and others.

Q1. (f)

Borrowing cost, as per **AS 16**, means interest and other costs incurred by an enterprise in connection with the borrowing of funds. Examples are interest on loans and debentures, amortisation of discounts or premiums, finance charges on leases, and exchange differences on foreign-currency borrowings to the extent they are regarded as an adjustment to interest.

Q1. (g)

Four intangible assets are:

1. Patents
2. Copyrights
3. Trademarks
4. Computer software

Licences and franchises are also intangible assets. Internally generated goodwill is not recognised as an asset under AS 26.

Q1. (h)

A **lease**, as per **AS 19**, is an agreement by which the lessor gives the lessee the right to use an asset for an agreed period of time, in return for a payment or a series of payments. A finance lease transfers substantially all the risks and rewards of ownership. An operating lease does not.

Q1. (i)

AS 15 (Revised) classifies employee benefits into four types:

1. **Short-term benefits**, such as wages, salaries, paid leave and bonuses payable within twelve months.
2. **Post-employment benefits**, such as gratuity, pension and retirement benefits.
3. **Other long-term benefits**, such as long-service leave and deferred compensation.
4. **Termination benefits**, payable on ending an employee's service.

Q1. (j)

AS 29 deals with provisions, contingent liabilities and contingent assets. A provision is recognised only when there is a present obligation from a past event, an outflow of resources is probable, and the amount can be estimated reliably. Contingent liabilities are not recognised; they are disclosed, unless the chance of outflow is remote. Contingent assets are not recognised.

SECTION B – 5 MARKS

Q2.

The ICAI set up the **Accounting Standards Board (ASB)** in 1977. The standard-setting process is:

1. **Identification of the area** for which a standard is needed.
2. **Constitution of a study group** to prepare the draft.
3. **Preparation of the draft** and its circulation among the members of the ASB and others.
4. **Views of different bodies** on the draft are obtained.
5. **Finalisation of the exposure draft.**
6. **Comments on the exposure draft** are received from the public and interested bodies.
7. **Modification of the draft** in the light of those comments.
8. **Issue of the Accounting Standard** under the authority of the Council of the ICAI. For companies, the standard is notified by the Ministry of Corporate Affairs.

An Accounting Standard does not override the law. If a law requires a different treatment, the law is followed and the departure is disclosed.

Q3.

Amortisation is the systematic allocation of the depreciable amount of an intangible asset over its useful life. Depreciable amount is cost (or the amount substituted for cost) less residual value. Amortisation begins when the asset is available for use, and the charge for each period is recognised as an expense, unless another standard requires it to be included in the carrying amount of another asset.

As per **AS 26**, the method should follow the pattern in which the economic benefits are consumed. If that pattern cannot be determined reliably, the straight-line method is used. The methods are:

1. **Straight-line method:** an equal amount each year over the useful life.
2. **Diminishing-balance method:** a fixed percentage on the written-down value.
3. **Unit-of-production method:** based on the units expected from the asset.

The method is applied consistently. The period and the method are reviewed at least at each financial year end, and a change is treated as a change in estimate under AS 5.

Q4.

As per **AS 29**, a provision is recognised when all three conditions are met:

1. **Present obligation:** the enterprise has a present obligation (legal or constructive) as a result of a past event.
2. **Probable outflow:** it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation. Probable means more likely than not.
3. **Reliable estimate:** a reliable estimate can be made of the amount. The amount is the best estimate of the expenditure required to settle the obligation at the balance-sheet date.

If any one condition fails, no provision is made. Where the outflow is not probable, or the amount cannot be estimated, the item is a contingent liability and is disclosed, unless the possibility of outflow is remote. An enterprise should not recognise a contingent asset.

Q5.

Fixed production overhead is absorbed on **normal capacity**, as required by AS 2. It is not increased because of low production.

Particulars	Rs. per kg
Material cost	200
Direct labour	40
Direct variable overhead	20
Fixed production overhead (Rs. 20,00,000 / 2,00,000 kg)	10
Cost of finished goods	**270**

Value of closing inventory = 4,000 kg × Rs. 270 = **Rs. 10,80,000**.

Actual output is not given, so the normal-capacity rate of Rs. 10 per kg is used. Fixed overhead left unabsorbed, if production is below normal capacity, is charged to profit and loss and is not added to the stock.

Q6.

Depreciation is 10% per year on the straight-line method. On a life of 10 years and no residual value, that is Rs. 300 lakhs a year (10% of Rs. 3,000 lakhs).

Particulars	Rs. lakhs
Cost of machinery	3,000
Less: Depreciation for 4 years (300 × 4)	1,200
Carrying amount at the end of year 4, before revaluation	1,800
Revalued amount adopted at the end of year 4	2,700
Revaluation surplus, credited to revaluation reserve (2,700 − 1,800)	900

Useful life is unchanged, so 6 years remain. Under AS 10 the revalued amount is depreciated over the remaining useful life. Depreciation from year 5 = 2,700 / 6 = **Rs. 450 lakhs per year**.

At the end of	Rs. lakhs
Year 5 (2,700 − 450)	2,250
Year 6 (2,250 − 450)	1,800

Carrying amount at the end of year 5 is Rs. 2,250 lakhs, and at the end of year 6 is Rs. 1,800 lakhs.

Q7.

Value in use is the present value of the cash flows from use and from disposal at the end of the life. The residual value of Rs. 5 lakhs is discounted with the year-5 factor.

Year ended	Cash flow (Rs. lakhs)	Factor at 10%	Present value
31.03.2012	50	0.909	45.45
31.03.2013	30	0.826	24.78
31.03.2014	30	0.751	22.53
31.03.2015	20	0.683	13.66
31.03.2016	20	0.620	12.40
Residual value on 31.03.2016	5	0.620	3.10
Value in use			**121.92**

Recoverable amount is the higher of net selling price and value in use.

Net selling price = Rs. 60 lakhs. Value in use = Rs. 121.92 lakhs.

Recoverable amount = Rs. 121.92 lakhs.

The carrying amount is Rs. 100 lakhs, which is below the recoverable amount, so there is no impairment loss.

SECTION C – 10 MARKS

Q10.

The Council of the ICAI, at its meeting of 18–19 March 2021, classified **non-company entities** for Accounting Standards applicable to periods beginning on or after 1 April 2020. There are four levels. Level I entities are large. Level II are medium, Level III are small and Level IV are micro. Levels II, III and IV are together called MSMEs.

Level I (any one of the following, at the end of the relevant accounting period):

1. Securities are listed, or are in the process of listing, on any stock exchange in India or outside India.
2. Banks (including co-operative banks), financial institutions, or an insurance business.
3. Turnover, excluding other income, exceeds **Rs. 250 crore** in the immediately preceding accounting year.
4. Borrowings, including public deposits, exceed **Rs. 50 crore** at any time during the immediately preceding accounting year.
5. Holding and subsidiary entities of any of the above.

Level I entities comply in full with all Accounting Standards.

Level II (not Level I, but any one of the following):

1. Turnover, excluding other income, exceeds **Rs. 50 crore** but does not exceed **Rs. 250 crore**.
2. Borrowings, including public deposits, exceed **Rs. 10 crore** but do not exceed **Rs. 50 crore**.
3. Holding and subsidiary entities of any of the above.

Level III (not Level I or Level II, but any one of the following):

1. Turnover, excluding other income, exceeds **Rs. 10 crore** but does not exceed **Rs. 50 crore**.
2. Borrowings, including public deposits, exceed **Rs. 2 crore** but do not exceed **Rs. 10 crore**.
3. Holding and subsidiary entities of any of the above.

Level IV: every non-company entity not covered in Level I, II or III.

Levels II, III and IV are given exemptions and relaxations. An entity which uses them must disclose, in a note, that it is an MSME, its level, and that it has complied with the Accounting Standards so far as they apply to that level. This classification does not apply to a non-company entity which is required to follow Ind AS.

Q11.

The shares are current investments, so they are carried at cost or market value, whichever is lower. Bonus is in the ratio of 1:2, that is one bonus share for every two shares held. Cost of the bonus is nil, and the total cost is spread over the shares held after the bonus.

Working 1 — Cost of 1,000 shares purchased on 1.4.2021

Particulars	Rs.
Price paid (1,000 × Rs. 120)	1,20,000
Brokerage at 2% of Rs. 1,20,000	2,400
Share-transfer stamps, 50 paise per Rs. 100 of Rs. 1,20,000	600
Cost	**1,23,000**

Working 2 — Bonus and average cost

Bonus shares = 1,000 × 1/2 = **500 shares**. Shares after bonus = 1,500.

Average cost = 1,23,000 / 1,500 = **Rs. 82 per share**.

Working 3 — Sale of 500 bonus shares on 31.3.2022

Particulars	Rs.
Sale price (500 × Rs. 90)	45,000
Less: Brokerage at 2%	900
Net sale proceeds	44,100

Particulars	Rs.
Less: Cost of shares sold (500 × Rs. 82)	41,000
Profit on sale	**3,100**

Working 4 — Valuation of the remaining 1,000 shares

Cost = 1,000 × Rs. 82 = Rs. 82,000. Market value = 1,000 × Rs. 90 = Rs. 90,000.

Lower of cost and market value = **Rs. 82,000**. The closing balance is carried at cost. The price of Rs. 175 was the cum-bonus quotation and is not the year-end market value.

Investment account in the books of Mr Jagan (TELCO Ltd. equity shares)

Debit	Nominal	Cost	Credit	Nominal	Cost
To Bank (1.4.2021)	1,00,000	1,23,000	By Bank (sale)	50,000	44,100
To Bonus shares	50,000	—	By Balance c/d	1,00,000	82,000
To Profit and loss	—	3,100			
	1,50,000	**1,26,100**		**1,50,000**	**1,26,100**

Nominal value is Rs. 100 per share. Balance brought down on 1.4.2022 is 1,000 shares, nominal Rs. 1,00,000, cost Rs. 82,000.

Q12.

The factory building is a qualifying asset under **AS 16**. It took a full year to get ready. The specific loan is used first. The rest of the expenditure is financed by the general loans, at their weighted average rate. There is no income from temporary investment of the borrowings.

Working 1 — Interest and weighted average rate of general borrowings

Loan (Rs.)	Rate	Interest (Rs.)
4,00,000	9%	36,000
5,00,000	12%	60,000
3,00,000	10%	30,000
12,00,000		**1,26,000**

Weighted average rate = 1,26,000 / 12,00,000 × 100 = **10.5%**.

Interest on the specific loan = 2,00,000 × 8% = **Rs. 16,000**.

Working 2 — Expenditure financed by general borrowings

Date	Amount (Rs.)	Months to 31.03.2018	Weighted amount (Rs.)
01.04.2017	3,00,000	12/12	3,00,000
31.05.2017	2,40,000	10/12	2,00,000
01.08.2017	4,00,000	8/12	2,66,666.67
31.12.2017	3,60,000	3/12	90,000
	13,00,000		**8,56,666.67**

Amount financed by the specific loan, outstanding for the whole year = Rs. 2,00,000.

Weighted expenditure from general borrowings = 8,56,666.67 – 2,00,000 = Rs. 6,56,666.67.

Interest on general borrowings = 6,56,666.67 × 10.5% = **Rs. 68,950**.

Interest to be capitalised

Particulars	Rs.
Specific borrowing	16,000
General borrowings	68,950
Total borrowing cost capitalised	**84,950**

Cost of the building = 13,00,000 + 84,950 = **Rs. 13,84,950**.

Journal entry

Particulars	Debit Rs.	Credit Rs.
Building account Dr.	13,84,950	
To Bank account		13,00,000
To Interest on specific loan		16,000
To Interest on general borrowings		68,950